In managing this awareness campaign, the Reserve Bank faces two dilemmas. The more straightforward dilemma is that the campaign has to educate people without unduly alarming them, which is the reason why the Reserve Bank has opted for a soft campaign rather than a hard-hitting one. We knew it would take longer to create the necessary impact but it would be more lasting.

The second dilemma, and a more complex one, is that the awareness campaign aimed at educating the public also provides handy information to the counterfeiters. The Reserve Bank manages this tension by making the replication of security features technically complex and prohibitively expensive, and also by incorporating some additional security features that can be detected only by sophisticated equipment.

On an issue like counterfeit currency, there can be nothing short of a zero-tolerance policy but there is a gap, as always, between the policy and the reality. The incidence of counterfeit notes has, of course, come down because of greater awareness and improved systems for detection, but the problem is far from totally eliminated. It shouldn’t be surprising also that the problem of counterfeit notes is more acute in our states which have international borders.

Counterfeit currency is primarily a law-and-order and enforcement issue with the responsibility for detection and prosecution lying with the police and security forces. The Reserve Bank has the responsibility to ensure that counterfeit currency does not circulate in the banking system; it does so by detecting and eliminating it at the entry level itself. Importantly, the Reserve Bank has invoked its regulatory power to instruct banks that all currency notes of ₹100 and higher denomination should be checked for genuineness and fitness before they are reissued into circulation. The Reserve Bank regularly trains commercial bank staff and police personnel in detecting counterfeit notes.

The legal provisions governing prosecution for counterfeit currency are quite comprehensive, but the underlying prescription regarding the procedure to be followed distorts the incentives for enforcement. In particular, if a currency note that a customer brings to a bank counter is